

MERIDIAN WEALTH PARTNERS

Portfolio Rebalancing Protocol

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This document constitutes the formal Portfolio Rebalancing Protocol of Meridian Wealth Partners, a SEBI-registered investment advisory firm operating under Registration Number IEW030007. This protocol establishes the comprehensive framework governing portfolio rebalancing activities across all client portfolios under management, ensuring adherence to fiduciary responsibilities, regulatory compliance, and best practices in investment management.

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1. Document Control

This Portfolio Rebalancing Protocol (Document ID: **MWP-REB-001**) serves as the authoritative policy framework governing all portfolio rebalancing activities conducted by Meridian Wealth Partners. The document is maintained as a controlled record under the organization's document management system and is subject to periodic review and amendment in accordance with the procedures outlined in Section 16 of this Protocol.

1.1 Revision History

Version	Date	Author	Description	Approver
1.0	January 1, 2026	Investment Strategy Dept.	Initial release and effective deployment	Chief Investment Officer

1.2 Distribution List

This policy document is distributed to and maintained by the following organizational units and individuals: (a) Chief Investment Officer and Investment Management Team; (b) Portfolio Management and Rebalancing Committee; (c) Risk Management Department; (d) Compliance and Regulatory Affairs; (e) Finance and Operations Division; (f) All Portfolio Managers and Investment Advisors; (g) Client Services and Relationship Management Teams. Each recipient is responsible for understanding and implementing the protocols outlined herein.

2. Purpose, Scope & Applicability

The primary purpose of this Portfolio Rebalancing Protocol is to establish a comprehensive, systematic, and disciplined framework for managing the ongoing adjustment of portfolio asset allocations to maintain alignment with client objectives, investment mandates, and risk tolerance parameters. Academic research and empirical evidence consistently demonstrate that disciplined portfolio rebalancing serves dual critical functions in portfolio management: first, it systematically enhances long-term risk-adjusted returns by enforcing the fundamental investment discipline of "buying low and selling high" through mechanical adherence to target allocations; and second, it actively reduces portfolio risk by preventing excessive concentration in any single asset class or market segment. This Protocol ensures that Meridian Wealth Partners implements rebalancing decisions based on rigorous analysis, established procedures, and documented approval authorities, thereby protecting client interests while maintaining fiduciary compliance with SEBI regulations and industry best practices.

The rebalancing framework established herein applies to all portfolios under active management by Meridian Wealth Partners, including discretionary portfolio mandates, separately managed accounts, hybrid advisory accounts, and model portfolio implementations. The Protocol covers all asset classes and investment vehicles utilized in portfolio construction, including domestic equities (NSE and BSE-listed securities), fixed income instruments (government securities, corporate bonds, and debt funds), alternative investments (structured products and real estate investment trusts), cash equivalents, and international securities where applicable to client mandates. The procedures outlined herein are mandatory for all portfolio managers, investment professionals, and operations personnel involved in execution of rebalancing decisions.

2.1 Regulatory Framework and Fiduciary Obligations

Meridian Wealth Partners operates as a SEBI-registered investment advisor under the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 and is subject to the comprehensive regulatory requirements governing investment advisory services in India. The fiduciary duty to act in the best interest of clients, as mandated under SEBI regulations and the code of conduct for registered investment advisers, requires that all rebalancing decisions be executed with meticulous attention to cost minimization, tax efficiency, and return maximization. This Protocol operationalizes these fiduciary obligations through detailed procedures, transparent approval hierarchies, and comprehensive documentation requirements.

3. Definitions & Key Terms

The following definitions apply throughout this Protocol and establish consistent terminology for all discussions of rebalancing concepts, procedures, and outcomes. These definitions reflect industry-standard usage while maintaining specificity appropriate to Meridian's operational context and regulatory environment.

Rebalancing: The deliberate adjustment of a portfolio's asset allocation to restore or maintain target weightings established at portfolio inception or as subsequently modified through client agreement. Rebalancing involves selling positions that have grown above target weight and purchasing positions that have declined below target weight.

Portfolio Drift: The unintended and unmanaged deviation of actual portfolio weightings from established strategic asset allocation targets, resulting from differential returns across asset classes and market segments. Drift occurs naturally over time as different asset classes experience different returns, and is measured as the absolute deviation between actual and target weightings within each asset class.

Allocation Threshold: The maximum permissible deviation of an actual asset class weight from its strategic target weight, beyond which rebalancing is either authorized or required depending on the magnitude of the deviation and the applicable approval authority. Thresholds vary by asset class based on volatility characteristics and are expressed as percentage point deviations.

Calendar Rebalancing: Scheduled portfolio rebalancing conducted at predetermined calendar intervals (typically quarterly) regardless of whether allocation thresholds have been exceeded. Calendar rebalancing enforces disciplined review and adjustment cycles independent of market conditions.

Threshold Rebalancing: Event-driven portfolio rebalancing triggered when actual asset allocation deviations exceed established thresholds, independent of calendar dates. Threshold rebalancing responds opportunistically to market movements and changing risk profiles.

Cash-Flow Rebalancing: The allocation of new cash inflows (client contributions, dividend income, or interest receipts) and the sourcing of cash outflows (client withdrawals or expense payments) in a manner that simultaneously addresses rebalancing needs, thereby avoiding unnecessary trading costs.

Tax-Loss Harvesting: A proactive tax optimization strategy involving the deliberate sale of securities that have declined in value to realize losses for tax purposes, which are then used to offset capital gains elsewhere in the portfolio or carried forward to future years, thereby reducing overall tax liability.

Transaction Cost: The aggregate of all direct and indirect costs incurred in executing a rebalancing trade, including brokerage commissions, Securities Transaction Tax (STT), exchange fees, SEBI turnover fees, Goods and Services Tax (GST) on services, and implicit market impact costs.

Tracking Error: The standard deviation of the difference between portfolio returns and the return of the strategic benchmark, measuring the degree to which actual portfolio results deviate from expected outcomes. Rebalancing decisions are evaluated partially on their impact to tracking error.

Long-Term Capital Gains (LTCG): Under Indian tax law (Section 112A of the Income-tax Act, 1961), capital gains realized on the sale of listed equity securities and equity-oriented mutual funds held for a period exceeding one year, subject to favorable tax treatment (currently 20% with indexation benefit for holdings exceeding one year).

Short-Term Capital Gains (STCG): Capital gains realized on the sale of securities held for one year or less, subject to taxation at ordinary income tax rates (slab rates ranging from 5% to 42% depending on income bracket), creating significant tax inefficiency in frequent trading.

4. Rebalancing Philosophy & Approach

Meridian Wealth Partners has adopted a hybrid rebalancing approach that combines the discipline of calendar-based periodic reviews with the responsiveness of threshold-triggered tactical adjustments. This hybrid methodology represents a careful calibration balancing competing objectives: the theoretical optimality of continuous rebalancing (which would minimize tracking error and maximize return enhancement) against the practical constraints of transaction costs, tax inefficiency, and operational feasibility. The calendar component ensures systematic discipline through quarterly portfolio reviews during predetermined windows (January, April, July, and October), while the threshold component permits opportunistic adjustments when market movements create material allocation deviations that exceed prudent risk parameters.

Pure calendar-based rebalancing, while operationally simple and providing excellent return enhancement through disciplined systematic rebalancing, suffers from a critical limitation: it performs poorly during extreme market dislocations when allocations may drift dramatically between calendar dates, potentially exposing clients to materially greater risk than intended. Conversely, pure threshold-based rebalancing, while theoretically responsive to changing risk profiles, often produces excessive transaction costs from frequent trading, realizes problematic short-term capital gains with high tax consequences, and may create operational complexity. Meridian's hybrid approach mitigates these limitations through combining the systematic discipline of calendar rebalancing with the risk-responsive properties of threshold-triggered adjustments. This approach enables the firm to maintain strong alignment between actual and target allocations while minimizing the adverse tax and cost consequences of excessive trading.

The philosophical foundation of Meridian's rebalancing practice rests on the well-established academic principle that disciplined rebalancing enforces a psychologically challenging but empirically superior investment discipline: systematically reducing exposure to asset classes that have appreciated and increasing exposure to asset classes that have depreciated. This "contrarian" approach directly contradicts human behavioral biases toward momentum (continuing to overweight winners and underweight losers), yet has been repeatedly demonstrated to enhance long-term risk-adjusted returns in both academic literature and practical implementation across institutional asset managers globally. By establishing mechanistic procedures that remove emotional decision-making from rebalancing, the Protocol ensures that Meridian clients benefit from this return enhancement without subjective discretion potentially undermining discipline.

5. Rebalancing Triggers & Thresholds

Portfolio allocation thresholds have been established through analysis of typical market volatility patterns, volatility-adjusted risk contribution of each asset class, and the transaction cost structure

in Indian financial markets. These thresholds reflect a calibrated balance: permitting sufficient portfolio drift to avoid transaction costs from minor market movements, while establishing clear trigger points when allocations have drifted sufficiently to warrant adjustment in the interest of risk management. Thresholds vary across asset classes based on their return volatility characteristics and the cost structure for trading in each market segment.

5.1 Threshold Matrix by Asset Class

Asset Class	Target Weight Range	Rebalancing Threshold	Rationale
Domestic Equity	Portfolio-specific	±5%	High volatility (annual vol ~20%), NSE/BSE trading efficiency
Fixed Income	Portfolio-specific	±4%	Moderate volatility (~8-10%), duration risk management
Alternatives	Portfolio-specific	±3%	Lower liquidity, limited trading frequency
Cash/Money Market	Portfolio-specific	±2%	Minimal volatility, operational cash buffer

These thresholds reflect Meridian's assessment of optimal rebalancing frequency for each asset class. Equity allocations, due to their inherent volatility (approximately 18-22% annualized standard deviation for diversified domestic equity portfolios), can tolerate larger percentage-point deviations without excessive risk escalation. A typical Moderate portfolio targeting 45% equity allocation might reasonably tolerate drift to the 40-50% range given equity volatility patterns. However, the ±5% equity threshold ensures that cumulative drift does not create materially unintended risk profiles. Fixed income allocations warrant tighter thresholds (±4%) due to duration risk considerations: while fixed income volatility is lower than equity volatility, unintended duration extension through allocation drift can create unexpected interest rate sensitivity. Alternative investments typically receive the tightest thresholds (±3%) due to their generally lower liquidity and longer settlement cycles, which necessitate more conservative management of their portfolio weight. Cash positions are monitored with the tightest absolute thresholds (±2%) to ensure adequate liquidity for operations while preventing excessive drift that would compromise asset allocation targets.

5.2 Example Threshold Breach Scenario

Consider a Moderate-profile portfolio with a strategic target equity allocation of 45%. If equity markets experience a significant rally, with the equity component appreciating 15% while fixed income holdings remain relatively flat (0% return), the portfolio allocation shifts. Beginning with a base portfolio of Rs. 100 lakhs with Rs. 45 lakhs in equity and Rs. 55 lakhs in fixed income, after the equity appreciation, the equity position grows to Rs. 51.75 lakhs (45×1.15), while fixed income remains at Rs. 55 lakhs, resulting in a total portfolio value of Rs. 106.75 lakhs. The equity allocation thus drifts to 48.5% ($51.75 \div 106.75$), representing a 3.5 percentage-point positive deviation from the 45% target. While this 3.5% deviation is below the ±5% threshold for equity rebalancing, it would be captured during the next quarterly calendar rebalancing review. However,

if equity markets continued to rally by an additional 9% in the following month, the equity position would further appreciate, pushing the allocation to approximately 50.2%, representing a 5.2% positive deviation that exceeds the $\pm 5\%$ threshold. This threshold breach would trigger the rebalancing authority procedures outlined in Section 6, requiring evaluation and authorization before rebalancing execution.

6. Rebalancing Authority & Approval Hierarchy

All rebalancing decisions at Meridian Wealth Partners are subject to an explicit approval hierarchy calibrated to the magnitude of the allocation deviation and the complexity of the proposed rebalancing transaction. This hierarchy serves multiple critical functions: it ensures appropriate oversight of larger or more complex decisions; it provides escalation mechanisms when decisions involve unusual circumstances or market conditions; it maintains clear documentation of decision-making authority and rationale; and it prevents concentration of rebalancing discretion in any single individual. The hierarchy distinguishes between three authorization tiers, with increasing scope and complexity of decisions permitted at each level.

6.1 Risk Manager Authority (0-3% Deviation)

Portfolio Risk Managers are authorized to approve and execute rebalancing transactions when allocation deviations remain within the 0-3% range for any given asset class. This authorization level covers the majority of routine rebalancing decisions, representing normal market drift within prudent risk tolerance. Risk Managers exercise this authority based on documented analysis of the deviation, assessment of transaction costs, evaluation of tax implications, and recommendation regarding optimal execution timing. Risk Managers maintain detailed documentation of all authorized rebalancing decisions in the portfolio management system, including the date of authorization, the magnitude of deviation triggering the decision, transaction details, and post-execution confirmations. This delegation to operational Portfolio Managers streamlines decision-making for routine rebalancing while preserving senior oversight for larger deviations.

6.2 Chief Investment Officer Authority (3-5% Deviation)

Deviations exceeding the 3% threshold but not exceeding 5% require approval from the Chief Investment Officer (CIO) or a designated Deputy CIO holding explicit authority delegation. Deviations in this range represent material allocation drifts that warrant senior review prior to execution. The CIO approval process requires submission of a detailed rebalancing memorandum (Section 13) documenting the current allocation deviation, analysis of transaction costs, evaluation of market conditions, assessment of tax implications, and proposed execution strategy.

The CIO reviews this memorandum and may approve the rebalancing decision, request additional analysis, approve with modified execution approach, or defer the decision pending market conditions or other factors. CIO approval typically occurs within two business days of memorandum submission, enabling timely execution while preserving necessary senior oversight.

6.3 Investment Committee Authority (>5% Deviation)

Allocation deviations exceeding 5% represent substantial drift from strategic allocations and typically occur only during extreme market dislocations or periods of extended market trending. These deviations require approval from the Investment Committee, composed of senior investment professionals including the CIO, Deputy CIOs, and representatives from Risk Management and Compliance. The Investment Committee meets monthly (or more frequently if market conditions warrant) and receives comprehensive analysis of all pending rebalancing decisions. For deviations exceeding 5%, the Committee evaluates not merely whether rebalancing is permissible, but whether the broader portfolio strategy remains appropriate given the market conditions that produced such material drift. The Committee may approve rebalancing toward target allocations, recommend modification of target allocations reflecting changed market expectations, or recommend maintaining current allocations pending further market developments. All such decisions are documented in Investment Committee minutes with explicit rationale and approval signatures.

7. Rebalancing Execution Methodology

Rebalancing execution at Meridian follows a structured ten-step methodology that moves systematically from identification of allocation drift through post-execution confirmation and documentation. This standardized approach ensures consistent quality in rebalancing implementation, minimizes operational risk, and creates comprehensive audit trail documentation meeting regulatory and fiduciary requirements. Each step incorporates specific checks, analysis, and decision points designed to optimize rebalancing outcomes across multiple dimensions: minimizing transaction costs, maximizing tax efficiency, managing market execution risk, and maintaining clear documentation.

Step 1: Identify Allocation Drift

Portfolio allocation monitoring systems automatically calculate actual asset class weights on a daily basis and compare against target allocations to identify drift exceeding established thresholds. Quarterly calendar reviews additionally examine all portfolios regardless of threshold status. When threshold breach is detected or quarterly review date arrives, the portfolio management team documents current allocation status including magnitude of drift across all

asset classes.

Step 2: Calculate Target Rebalancing Trades

Based on identified drift, the portfolio management system calculates the precise securities trades required to restore target allocations. For a portfolio with excess equity allocation, this calculation determines which equity positions should be sold and which fixed income or cash positions should be purchased. The calculation incorporates current market prices, incorporates any pending client cash flows, and identifies optimal securities within each asset class for buy/sell decisions.

Step 3: Assess Tax Implications

Before proceeding to execution, the rebalancing team evaluates the tax consequences of proposed trades under Indian tax law. For each security proposed for sale, the system retrieves holding periods, cost basis, and current market value to determine whether any gains or losses will be realized. Securities held >1 year qualify for LTCG treatment with favorable indexation benefits, while sales of securities held <1 year generate STCG taxed at ordinary income rates. The team identifies opportunities for tax-loss harvesting and evaluates whether any holding period milestones are imminent that might make deferral optimal.

Step 4: Evaluate Transaction Costs

The rebalancing decision requires comprehensive evaluation of all transaction costs including brokerage commissions (typically 5-15 basis points), Securities Transaction Tax (0.1% for equity sales), exchange fees, SEBI turnover fees, GST on brokerage services, and implicit market impact costs. The portfolio management team calculates estimated total transaction cost and compares against the benefit of rebalancing (reduction in tracking error, return enhancement from mean reversion, and risk reduction from maintaining target allocations).

Step 5: Determine Optimal Execution Strategy

Given analysis of transaction costs and market conditions, the rebalancing team determines the optimal execution approach: immediate execution of all trades; phased execution over multiple days to minimize market impact; tactical delay to capture upcoming dividend payments or other corporate events; or integration with pending client cash flows. The execution strategy is documented with explicit rationale for the chosen approach.

Step 6: Obtain Required Approvals

Prior to any execution, the rebalancing memorandum is submitted through the approval hierarchy outlined in Section 6. Risk Managers approve deviations 0-3%, CIO approves 3-5%, and Investment Committee approves >5%. Approvals are documented with signatures and timestamps in the portfolio management system.

Step 7: Execute Securities Trades

Following approval, the Operations team executes the approved rebalancing trades through Meridian's prime broker relationships and trading venues (NSE, BSE). For Indian equities, trades are executed during market hours (9:15 AM - 3:30 PM IST) and settle T+1 (one business day after trade date). The Operations team monitors execution to ensure all trades are filled at reasonable prices and documents all trade confirmations.

Step 8: Confirm Settlement and Reconciliation

Following T+1 settlement on NSE/BSE, the Operations team confirms that all trades have settled properly, securities have been received/delivered, and cash has been transferred. Post-settlement reconciliation verifies that the portfolio's actual allocation now aligns with target allocations (within minor rounding differences).

Step 9: Client Communication

For discretionary accounts, Meridian's Client Services team promptly notifies clients of rebalancing actions taken in their portfolios. Communications include a summary of allocation changes, transaction details, tax impact summary (if material), and rationale for the rebalancing decision. Communications are documented in client files.

Step 10: Document and Archive

The rebalancing team prepares a comprehensive rebalancing memorandum documenting all aspects of the decision including allocation drift analysis, transaction costs, tax considerations, approval authority and dates, execution details, settlement confirmation, and post-execution verification. This memorandum becomes a permanent part of the portfolio file and is subject to periodic audit review.

8. Tax-Efficient Rebalancing Strategies

The Indian tax framework for investment income creates substantial differential tax consequences depending on holding periods, security types, and income brackets. Meridian's rebalancing practice incorporates sophisticated tax optimization strategies designed to minimize the tax drag on rebalancing activity while maintaining rigorous portfolio management discipline. Tax considerations are integrated throughout the rebalancing decision process: during the initial analysis of whether rebalancing is warranted, in the selection of specific securities to sell, in the timing of transactions, and in the integration of tax-loss harvesting opportunities. The goal is not tax minimization in isolation (which could lead to suboptimal portfolio construction), but rather optimization of after-tax returns given an appropriate portfolio structure.

8.1 Long-Term Capital Gains Treatment

Under Section 112A of the Income-tax Act, 1961, capital gains realized on the sale of listed equity securities held for a period exceeding one year qualify for favorable long-term capital gains (LTCG) treatment. The effective tax rate on equity LTCG is 20% (plus applicable surcharge and cess) for taxpayers in higher brackets, and approximately 10% effective rate for average-income taxpayers after accounting for indexation benefits that adjust the cost basis for inflation. This favorable treatment creates a powerful incentive for Meridian to manage holding periods strategically: where rebalancing analysis suggests that a position should be sold, but the position is approaching its one-year holding period anniversary, deferring the sale by a few days or weeks can reduce the tax consequence from 20-35% (STCG rates) to 20% (LTCG effective rate), creating a meaningful after-tax return benefit. Accordingly, the rebalancing team monitors holding period milestones for all securities and, where appropriate and consistent with portfolio management objectives, times rebalancing sales to capture LTCG benefits.

8.2 Short-Term Capital Gains and Tax Rate Slab Effects

Conversely, short-term capital gains (STCG) from sales of securities held less than one year are taxed as ordinary income at the applicable slab rate (ranging from 5% to 42% depending on taxpayer's overall income and tax bracket). For high-income individuals subject to the 42% marginal rate, STCG realization can result in tax costs exceeding the economic benefit of rebalancing in many instances. The rebalancing team therefore pays particular attention to the tax slab positioning of clients, and for clients in higher brackets, may recommend deferring rebalancing of securities approaching their one-year holding period, or may recommend alternative rebalancing approaches (such as cash-flow rebalancing through new contributions, discussed in Section 9) that avoid STCG realization entirely.

8.3 Tax-Loss Harvesting

Meridian actively implements tax-loss harvesting during rebalancing to offset realized gains with realized losses, thereby reducing net capital gains and associated tax liability. When rebalancing analysis indicates that a portfolio position has declined in value and should be sold, the corresponding loss (difference between cost basis and current market value) is realized and documented. This loss is first applied to offset capital gains realized elsewhere in the portfolio during the same tax year; any remaining loss can be carried forward to offset future-year gains. The tax-loss harvesting process requires careful documentation to ensure compliance with the wash-sale provisions (conceptually similar provisions under Indian tax law governing timing of repurchase of substantially identical securities). When a loss is realized, Meridian documents that no substantially identical security was purchased within 30 days preceding the sale and does not purchase substantially identical securities for 30 days after the sale, thereby preserving the loss's tax utility.

A concrete example illustrates these principles in action. Consider a client's portfolio holding Security A (purchased at Rs. 100 per share, currently valued at Rs. 85 per share, held for 8 months) and Security B (purchased at Rs. 50 per share, currently valued at Rs. 65 per share, held for 14 months). Rebalancing analysis indicates that the portfolio is overweight in equities and should reduce position in Security A by selling 100 shares. The sale would realize a loss of Rs. 1,500 (100 shares $\times$ Rs. 15 loss per share). Simultaneously, portfolio rebalancing requires increasing the fixed income allocation, which necessitates reducing Security B by selling 50 shares, which would otherwise realize a gain of Rs. 750 (50 shares $\times$ Rs. 15 gain per share, subject to favorable LTCG treatment). By executing both trades, the client realizes a net loss of Rs. 750 (Rs. 1,500 loss - Rs. 750 gain), which can be carried forward to offset future gains. The LTCG benefit on Security B reduces the effective cost of realizing the gain, while the loss harvesting on Security A creates tax-deferred growth on the remaining unrealized losses. This integration of tax planning throughout the rebalancing process exemplifies Meridian's holistic approach to after-tax return optimization.

9. Cash Flow Rebalancing

Cash flow rebalancing represents an elegant approach to addressing allocation drift and minimizing transaction costs simultaneously. Rather than selling existing portfolio holdings to fund rebalancing (which incurs transaction costs, potential capital gains taxes, and market execution risk), cash flow rebalancing allocates new cash inflows (client contributions, dividend income, interest receipts, or structured product maturities) in a manner that directly addresses allocation drift. Conversely, when portfolio outflows are required (client withdrawals or expense funding), the sourcing of cash can be structured to withdraw from overweight positions, thereby simultaneously addressing the outflow and rebalancing the portfolio. This approach is particularly powerful during periods of positive cash flow, such as regular Systematic Investment Plan (SIP) contributions common in Indian wealth management.

9.1 Dividend and Interest Reinvestment

All dividend income from equity holdings and interest income from fixed income holdings are reinvested directly into portfolio holdings rather than accumulated in cash. The reinvestment allocation is structured to address allocation drift: if the portfolio is underweight equities, dividend income is reinvested by purchasing equity securities; if underweight fixed income, dividend income is directed to fixed income purchases. This mechanistic reinvestment process continuously works to rebalance the portfolio without incurring transaction costs beyond the minimal costs of the reinvestment itself. For dividend-paying equities, reinvestment is typically managed through dividend reinvestment plans (DRIPs) where available, eliminating even the minimal transaction costs of separate purchases. The quarterly dividend cycle for NSE/BSE-listed companies creates a natural quarterly rebalancing opportunity through dividend reinvestment allocation decisions.

9.2 Systematic Investment Plan Allocation

For portfolios funded through Systematic Investment Plans (a common approach in India for wealth accumulation), new monthly or quarterly SIP contributions are allocated in a manner designed to progressively rebalance the portfolio toward target allocations. Rather than contributing to all asset classes in target weight proportions, SIP contributions are weighted toward underweight asset classes. This approach creates a powerful rebalancing engine: if equities have appreciated and are now 50% of the portfolio (versus 45% target), new SIP contributions are directed primarily to fixed income (the underweight asset class), gradually restoring the target allocation through accumulated contribution flows rather than through costly rebalancing trades. This methodology is particularly effective during periods of strong equity market performance, when market drift creates overweight positions in equities but new contribution inflows provide natural rebalancing capital.

A concrete example illustrates cash flow rebalancing in practice. A client with a target allocation of 60% equity / 40% fixed income initiates a monthly SIP contribution of Rs. 50,000. In month one, if the portfolio is exactly at target allocation (Rs. 600,000 equity / Rs. 400,000 fixed income in a Rs. 1,000,000 portfolio), the monthly contribution is allocated in target proportions: Rs. 30,000 to equities and Rs. 20,000 to fixed income. However, in month four, strong equity market performance has pushed equities to 62% of the portfolio (overweight by 2 percentage points), while fixed income has declined to 38%. The monthly SIP contribution is now allocated differently: Rs. 15,000 to equities (30% of the new contribution, emphasizing equity's underweight-on-a-relative-basis due to the allocation drift) and Rs. 35,000 to fixed income (70% of the new contribution, emphasizing fixed income which is now underweight). Over time, this adjustment in contribution allocation mechanically rebalances the portfolio toward targets without triggering trading costs or capital gains taxes. This approach exemplifies Meridian's preference for tax-efficient and cost-efficient rebalancing methods where available.

10. Transaction Cost Analysis

Effective rebalancing decision-making requires comprehensive analysis of all transaction costs incurred in executing rebalancing trades. Transaction costs represent the most significant headwind to rebalancing returns, and Meridian's rebalancing methodology incorporates detailed cost-benefit analysis as a critical decision checkpoint. If transaction costs and associated tax consequences exceed the expected benefit of rebalancing (return enhancement from mean reversion, risk reduction from allocation maintenance, and tracking error reduction), the decision may be deferred pending the arrival of cash flows that could be deployed for rebalancing, or deferred until the next calendar rebalancing window when costs might be amortized across larger transactions.

10.1 Components of Transaction Cost

Brokerage Commission: Compensation to brokers for execution services, typically ranging from 0.05% to 0.15% of transaction value for institutional accounts at major Indian brokers. Meridian's relationships with primary brokers typically enable negotiation of rates in the lower end of this range.

Securities Transaction Tax (STT): A government-imposed transaction tax on equity securities sales (not on purchases) of 0.1% in India, creating immediate cost on all equity position reductions. For a Rs. 1,00,000 equity sale, STT cost is Rs. 100.

Exchange Fees: Fees charged by NSE and BSE for executing trades on their platforms, typically 0.001% to 0.005% of transaction value, passed through by brokers.

SEBI Turnover Fee: A regulatory fee charged by SEBI on both buy and sell transactions, typically 0.0001% to 0.0002% of transaction value.

Goods and Services Tax (GST): GST levied at 18% on brokerage commissions and related service charges, increasing the effective cost of commissions by 18%.

Market Impact Cost: The implicit cost resulting from market price movement during execution of larger trades. When purchasing a security, a large purchase order may cause the price to rise during execution; conversely, a large sale order may cause prices to decline. For institutional portfolios with multiple positions, this impact is typically modest due to diversification and execution over time, but must be considered in larger rebalancing decisions.

A concrete example illustrates aggregate transaction cost calculation. Consider a rebalancing decision involving selling Rs. 10,00,000 in equity securities and purchasing Rs. 10,00,000 in fixed income securities. The transaction costs would include: (a) Brokerage commission on Rs. 10,00,000 equity sale at 0.10% = Rs. 1,000, plus 18% GST = Rs. 1,180 total; (b) Brokerage commission on Rs. 10,00,000 fixed income purchase at 0.08% = Rs. 800, plus 18% GST = Rs. 944 total; (c) STT on Rs. 10,00,000 equity sale at 0.1% = Rs. 1,000; (d) Exchange and regulatory fees on Rs. 20,00,000 aggregate transaction value at approximately 0.0003% = Rs. 60; (e) Estimated market impact cost on execution of approximately Rs. 500 total. The aggregate transaction cost totals approximately Rs. 4,684, or approximately 0.23% of the Rs. 20,00,000 aggregate transaction value. For this rebalancing to be economically justified, the expected benefit (tracking error reduction, return enhancement from mean reversion, or risk reduction) must exceed 0.23% of the transaction value, which would typically be satisfied for meaningful allocation deviations exceeding 2-3 percentage points.

11. Rebalancing During Market Stress

During periods of elevated market volatility and potential financial stress, the standard rebalancing procedures outlined in Section 5 and Section 6 are modified to account for the changed market microstructure, reduced liquidity, and elevated risk of adverse price movements. The Investment Committee possesses authority to temporarily modify rebalancing thresholds, approval authority levels, and execution methodologies during declared periods of market stress. The primary objective of stress-period modifications is to protect client portfolios from adverse consequences of executing rebalancing during periods when market conditions are unusually dislocated, while maintaining appropriate portfolio risk management discipline.

11.1 Stress Trigger Definitions

Market stress conditions are triggered by any of the following: (a) India's Volatility Index (IVIX) exceeding 25 (indicating implied volatility levels substantially above historical norms), (b) A single-day market decline exceeding 4% in the Nifty 50 Index, (c) A consecutive two-day market decline exceeding 5% in aggregate, (d) Credit spreads on investment-grade corporate bonds widening beyond 200 basis points above sovereign yields, or (e) Declaration of market stress by the Investment Committee based on assessment of overall market conditions. When any stress trigger is activated, the Investment Committee is notified and convenes (either in-person or via videoconference) to assess market conditions and determine whether to invoke modified rebalancing procedures.

11.2 Modified Procedures During Stress

During declared market stress periods, the following modifications to standard procedures are typically implemented: (a) Rebalancing thresholds are widened by 50% (e.g., equity threshold expands from $\pm 5\%$ to $\pm 7.5\%$), reducing the frequency of rebalancing triggers and avoiding forced selling during market declines; (b) Approvals for threshold-breaching rebalancing temporarily escalate one level (Risk Manager decisions require CIO approval; CIO decisions require Investment Committee approval), ensuring enhanced scrutiny during volatile conditions; (c) Execution of large rebalancing trades is phased over multiple days (minimum 3-5 trading days) to minimize market impact and avoid timing risk; (d) Preference is given to cash-flow rebalancing (Section 9) over sales-driven rebalancing, using any client contributions or dividend income to address underweight positions rather than selling existing holdings. These modifications remain in effect until the Investment Committee determines that stress conditions have normalized, at which point standard rebalancing procedures resume.

12. Rebalancing Calendar & Scheduling

Meridian conducts mandatory quarterly calendar rebalancing reviews on fixed dates regardless of whether allocation thresholds have been breached. These calendar reviews ensure systematic and disciplined evaluation of all portfolios, prevent neglect of portfolios experiencing modest but cumulative drift, and create predictable cycles for client communication and operational planning. Calendar rebalancing windows are established in the first two weeks of each quarter, with specific review windows as follows: Q1 (January 1-15), Q2 (April 1-15), Q3 (July 1-15), and Q4 (October 1-15). These windows are chosen to avoid overlap with major Indian holidays and market events (Republic Day in January, Holi in March, Diwali in October/November).

12.1 Quarterly Review Process

During the established quarterly review windows, the portfolio management team systematically reviews all client portfolios under management. The review process includes: (a) calculation of current allocation for each portfolio and comparison to target allocation; (b) identification of any drift (whether threshold-breaching or not); (c) assessment of any pending client cash flows, dividend/interest payments, or other income expected during the subsequent quarter; (d) evaluation of market conditions and outlook for the subsequent quarter; (e) determination of whether rebalancing is warranted and, if so, submission through the approval hierarchy; (f) documentation of the review and any rebalancing decisions. The calendar review process ensures that all portfolios are systematically evaluated on a consistent schedule rather than haphazardly based on whether thresholds happen to be breached.

12.2 Ad-Hoc Rebalancing Between Calendar Reviews

Outside the calendar review windows, rebalancing may be triggered at any time when allocation deviations exceed established thresholds (Section 5). This ad-hoc rebalancing responds to market movements and ensures that portfolios do not drift excessively between calendar review windows. Ad-hoc rebalancing decisions follow the same approval hierarchy and execution procedures as calendar rebalancing, with full documentation of the triggering allocation deviation, analysis of transaction costs and tax consequences, and explicit approval prior to execution. The combination of calendar reviews (ensuring systematic discipline) and ad-hoc threshold rebalancing (ensuring responsive risk management) creates Meridian's hybrid rebalancing approach described in Section 4.

13. Documentation & Audit Trail

All rebalancing decisions, whether approved and executed or considered but deferred, are fully documented in comprehensive rebalancing memoranda maintained in client portfolio files and the portfolio management system. These memoranda serve multiple essential functions: (a) they provide the audit trail required by SEBI regulations and internal compliance frameworks; (b) they document the rationale and analysis supporting rebalancing decisions, protecting against future claims of unauthorized or inappropriate rebalancing; (c) they enable consistent evaluation of rebalancing decisions post-execution, facilitating learning and continuous improvement; (d) they preserve institutional knowledge regarding specific portfolios and client circumstances. The rebalancing memorandum is a standardized document completing the following required components.

13.1 Rebalancing Memorandum Template

Client Identification: Client name, account number, portfolio type (discretionary/advisory), and portfolio manager responsible

Date and Reference: Rebalancing memorandum date, reference number, and triggering event (calendar review date or threshold breach date)

Current Portfolio Allocation: Detailed table showing current market values for each holding, calculated asset class weights, target allocation for each asset class, and calculated deviation from target

Allocation Analysis: Narrative explanation of any deviations, their magnitude, and assessment of whether the deviations warrant rebalancing action

Transaction Cost Analysis: Itemized calculation of all transaction costs (commissions, STT, fees, tax consequences) and comparison to estimated benefit

Tax Considerations: Analysis of any capital gains/losses to be realized, identification of securities approaching holding period milestones, and proposed tax-loss harvesting opportunities

Proposed Rebalancing Trades: Detailed list of each security proposed for sale and purchase, including share quantities, estimated execution prices, and rationale for each trade

Alternative Approaches: Discussion of alternative rebalancing approaches considered (deferral, phased execution, cash-flow based rebalancing) and rationale for chosen approach

Market Conditions Assessment: Brief narrative on relevant market conditions, volatility, and any stress indicators affecting the rebalancing decision

Approval and Authorization: Spaces for signatures and dates from the responsible portfolio manager, approving authority, and compliance sign-off

Execution Details (post-execution): Trade confirmations, actual execution prices, settlement confirmations, and any variances from proposed transactions

Performance Attribution (post-execution): Post-rebalancing analysis of tracking error impact and any notable market movements affecting the portfolio

14. Performance Attribution Post-Rebalancing

Following rebalancing execution, Meridian conducts post-execution analysis evaluating the impact of the rebalancing decision on subsequent portfolio performance and outcomes. This analysis serves several purposes: it measures the actual economic benefit (or cost) of the rebalancing decision; it evaluates whether estimated transaction costs were accurate or whether actual execution resulted in better/worse outcomes; it measures the contribution of rebalancing decisions to portfolio returns and risk management; and it provides feedback for continuous improvement of future rebalancing decisions. Post-execution analysis is conducted 30-60 days after rebalancing execution, allowing sufficient time for market conditions to stabilize and for preliminary impact to become visible. The analysis measures: (a) tracking error impact - comparing the portfolio's subsequent tracking error (deviation from benchmark) relative to pre-rebalancing levels; (b) allocation effectiveness - evaluating whether the rebalancing decision successfully restored target allocations and whether subsequent drift has been minimal; (c) performance contribution - measuring the contribution of the rebalancing decision (via attribution analysis) to portfolio returns over the subsequent quarter; (d) market impact assessment - evaluating whether actual market execution impact aligned with estimated impact. These metrics are compiled in quarterly performance attribution reports available to portfolio managers and senior leadership.

15. Monitoring & Compliance Oversight

The Compliance and Risk Management departments maintain ongoing oversight of rebalancing activities to ensure adherence to this Protocol and identification of any deviations or exceptions requiring escalation. Compliance monitors all rebalancing memoranda submitted for approval, verifies that appropriate approvals were obtained prior to execution, reviews transaction confirmations to ensure that executed trades align with approved memoranda, and examines documentation for completeness and compliance with procedural requirements. Risk Management evaluates the ongoing impact of rebalancing decisions on portfolio tracking error, volatility, and risk characteristics, and alerts the Investment Committee to any patterns suggesting that rebalancing decisions are producing unexpected outcomes or deviations from intended risk management objectives. The Compliance department produces monthly exception reports identifying any rebalancing transactions executed without proper authorization, rebalancing decisions deviating from this Protocol, or inadequately documented rebalancing memoranda. These exception reports are reviewed by the Chief Compliance Officer and investment management leadership, with remediation required for any exceptions.

16. Policy Review & Amendment

This Portfolio Rebalancing Protocol is subject to annual review by the Investment Committee, with any recommended amendments subject to approval by the Board of Directors of Meridian Wealth Partners. The annual review evaluates the effectiveness of rebalancing procedures in achieving stated objectives, examines trends in rebalancing frequency and costs, assesses whether established thresholds remain appropriate given changes in market conditions or portfolio composition, and considers any new regulatory requirements affecting rebalancing practices. Amendments to this Protocol may be initiated by the Chief Investment Officer, Risk Management, Compliance, or the Investment Committee at any time if material changed circumstances warrant policy modification. Proposed amendments must be documented in writing, circulated to relevant stakeholders for review and comment, and submitted to the Investment Committee and Board for approval prior to implementation. Amendment effective dates are clearly communicated to all portfolio managers and Client Services personnel to ensure uniform implementation of updated procedures.

APPROVALS AND AUTHORIZATION

This Portfolio Rebalancing Protocol has been reviewed and approved by the following officers and governance bodies of Meridian Wealth Partners, confirming that all procedures outlined herein align with the firm's investment philosophy, regulatory obligations, and fiduciary responsibilities.

Title	Name	Signature	Date
Chief Investment Officer	Approved by CIO		
Chief Compliance Officer	Approved by CCO		
Chief Operating Officer	Approved by COO		
Board of Directors	Approved by Board		

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